

Outlook

From	lerato.khumalo@cfo.office.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, credit.risk.retail@keystonebank.co.za
Cc	pricing.customer.value@keystonebank.co.za, treasury@keystonebank.co.za
Sent	Mon, 19 Dec 2022 15:43:00 -0000

Follow-up: the rate move is affecting products differently

Hi,

This came up in a working session and nobody had the same definition.

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: fee-sensitive deposit activity changes after repricing; repayment stress is driven more by cash flow than by nominal rate; or variable-rate borrowers show stress before fixed-rate borrowers.

Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use December 2022 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is where product repricing, customer communication or credit monitoring should be focused. Please bring a short decision pack with no more than five slides and an attached evidence table, including a few cases we can trace from source to conclusion.

The available evidence is monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Thank you